

Line 3

Case Name: *Joel Weissbart v. General Motors, LLC, et al.*

Case No.: 25CV468818

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Defendant General Motors LLC (“GM” or “Defendant”) demurs to the Complaint filed by Plaintiff Joel Weissbart (“Plaintiff”) under Code of Civil Procedure Section 430.10(e) on the ground that Plaintiff cannot state his cause of action for breach of implied warranty because it is barred by the statute of limitations, and his fifth cause of action for fraudulent inducement-concealment fails because Plaintiff fails to sufficiently plead the essential elements of a fraud claim. Notice of Demurrer (the “Demurrer”) at 1:3-8 (filed: Oct. 16, 2025). Moreover, Defendant demurs on the ground that the fraud claim is barred by the economic loss rule, the independent tort principle, and the statute of limitations. *Id.* at 1:9-10.

The Demurrer came on for hearing on June 10, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

I. Factual Allegations

On February 6, 2021, Plaintiff entered in to a “bumper to bumper” warranty contract with GM for a 2021, Cadillac Escalade, vehicle identification number 1GYS4FKL6MR245887(“Subject Vehicle”), which was manufactured and/or distributed by GM. (Complaint ¶¶ 6,7)

Before Plaintiff purchased the Subject Vehicle, GM knew that vehicles equipped with the 6.2L engine, as installed in the Subject Vehicle, suffered from one or more defects that resulted in loss of power, stalling, running rough, or engine misfires. (“Engine Defect”) GM acquired this knowledge through various sources of information, including but not limited to pre-production and post-production testing, consumer complaints made exclusively to GM and its network of dealers, aggregate warranty data compiled from GM’s network of dealers, testing conducted by GM in response to consumer complaints, and repair order and parts data received by GM from its network of dealers. (FAC ¶¶ 51, 57)

GM concealed the Engine Defects and instead implemented a strategy with its dealers where symptoms of the defect were ineffectively repaired but not the underlying cause. As a result of GM’s silence and inaction, Plaintiff was unaware that he was purchasing an unsafe and unreliable vehicle.(Complaint ¶¶ 65, 68, 69, 71)

Plaintiff filed this action on June 23, 2025, alleging causes of action for:

- (1) Violation of Civil Code section 1793.2, subdivision (d);
- (2) Violation of Civil Code section 1793.2, subdivision (b);
- (3) Violation of Civil Code section 1793.2, subdivision (a)(3);
- (4) Breach of the Implied Warranty of Merchantability; and
- (5) Fraudulent Inducement – Concealment.

II. Legal Standard

“The party against whom complaint or cross-complaint has been filed may object, by demurrer or answer as provided in [Code of Civil Procedure] section 430.30, to the pleading on any one or more of the following grounds: . . . (e) The pleading does not state sufficient facts to constitute cause of action, (f) The pleading is uncertain.” (C.C.P. § 430.10(e) & (f).)

A demurrer may be used by “[t]he party against whom complaint has been filed” to object to the legal sufficiency of the pleading as whole, or to any “cause of action” stated therein, on one or more of the grounds enumerated by statute. (C.C.P. §§ 430.10 & 430.50(a).)

“A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal. 3d 197, 213-214.) In ruling on demurrers, courts may consider matters subject to judicial notice. (*Scott v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal. App. 4th 743, 751.) Evidentiary facts found in exhibits attached to complaint can be considered on demurrer. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.)

Under California law, even if a demurrer is sustained, leave to amend the complaint is routinely granted. “Liberality in permitting amendment is the rule, if fair opportunity to correct any defect has not been given.” (*Angie M. v. Superior Court* (1995) 37 Cal. App. 4th 1217, 1227.) “Unless the complaint shows on its face that it is incapable of amendment, denial of leave to amend constitutes an abuse of discretion, irrespective of whether leave to amend is requested or not.” (*McDonald v. Sup. Ct. (Flintkote Co.)* (1986) 180 Cal. App. 3d 297, 303-304.)

III. Analysis

A. Plaintiffs’ Fourth & Fifth Causes of Action Are Not Time-barred.

GM argues that both the fourth and fifth causes of action are time-barred by their

applicable four-year and three-year statute of limitation respectively because (1) the statutory limitations accrued on the date Plaintiff purchased the vehicle i.e. February 6, 2021, (2) the Complaint fails to allege any temporal facts that would permit tolling or the inference of tolling, (3) Plaintiff cannot invoke the delayed discovery rule since he affirmatively plead the alleged defects manifested themselves during the applicable express warranty period which began on the purchase date, and (4) the Complaint fails to allege facts necessary to invoke the delayed discovery. (Motion pp. 8:12-10:4)

1. Analysis for Claim of Breach of Implied Warranty of Merchantability

Under California law, the statute of limitations for a cause of action for breach of warranty under the Song-Beverly Act is governed by section 2725 of the Uniform Commercial Code. (*Mexia v. Rinker Boat Co., Inc.*, (2009) 174 Cal. App. 4th 1297, 1306.) So Song-Beverly claims are subject to a four-year statute of limitations period that commences when the action accrues, i.e. when the breach occurs. (*Schick v. BMW of N. Am., LLC*, (9th Cir. 2020) 801 F. App'x 519, 520; *see also, Montoya v. Ford Motor Co.* (2020) 46 Cal. App.5th 493, 495.; Cal. Com. Code. § 2725(2).) Typically, a breach of the implied warranty of merchantability occurs at the date of sale. (*Cardinal Health 301, Inc. v. Tyco Elecs. Corp.*, (2008) 169 Cal. App. 4th 116, 134.)

But the Song-Beverly Act provides that—when accompanied by an express warranty of future performance spanning one year or longer the duration of the implied warranty of merchantability may extend to a period of not more than one year after purchase. (See, Cal. Civ. Code § 1791.1(c).) This provision is held to extend an implied warranty to future performance, such that “the implied warranty of merchantability may be breached by a latent defect undiscoverable at time of sale.” (*Mexia, supra*, 174 Cal. App. 4th at p. 1308.) While the duration provision of § 1791.1(c) provides that an implied warranty of merchantability may not extend longer than one year, “[t]here is nothing that suggests a requirement that the purchaser discover and report to the seller a latent defect within that time period.” (*Id.* at 1310.) “In the case of a latent defect . . . the warranty of merchantability is breached, by the existence of the unseen defect, not by its subsequent discovery.” (*Id.* at 1305.)

Here, the express warranty was for four years or 50,000 miles, whichever occurred first. (Complaint Ex. A) As such, the implied warranty was extended to its outer limit of one year under § 1791.1(c). Therefore, any breach of warranty must have occurred on or before February 6, 2022—whether Plaintiff discovered the breach during that period or after—and the four-year statute of limitations expired no later than February 6, 2026. Plaintiff’s Complaint was filed on June 23, 2025, well within this statutory deadline. Hence, the applicable statute of limitations has not expired.

2. Analysis for Claim of Fraudulent Inducement

Claims for fraudulent inducement based on concealment are subject to a three-year statute of limitations. (Code Civ. Proc., § 338(d).) A general demurrer based on the statute of limitations is only permissible when the grounds for the defense are disclosed

on the face of the complaint or from matters judicially noticed. (*Vaca v. Wachovia Mortgage Corp.* (2011) 198 Cal.App.4th 737, 746; *Iverson, Yoakum, Papiano & Hatch v. Berwald* (1999) 76 Cal.App.4th 990, 995.) In other words, the dates alleged in the complaint must show the action is barred by the applicable statute of limitations and the running of the statute must appear clearly and affirmatively from the alleged dates. If not, the proper remedy is to ascertain the factual basis of the contention through discovery and, if necessary, file a motion for summary judgment. (See, *Roman v. County of Los Angeles* (2000) 85 Cal.App.4th 316, 324-325.)

GM contends that Plaintiff's claim accrued on February 6, 2021, when the Subject Vehicle was purchased and the express warranty went into effect. Therefore the latest filing date for the complaint was February 6, 2024. (Motion p. 9:14-17) But a fraud claim "is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake." (Code Civ. Proc., § 338, subd.(d).) Plaintiff alleges he discovered GM's wrongful conduct shortly before the filing of his Complaint, as the Subject Vehicle continued to exhibit symptoms of engine defects following GM's unsuccessful attempts to repair them. (Complaint ¶ 24) Nothing in the complaint specifies or shows when Plaintiff discovered the alleged fraud. And a demurrer on the ground that the claim is barred by a statute of limitations will not lie where the claim may be, but is not necessarily barred. (*Lockley v. Law Office of Cantrell, Green, Pekich, Cruz & McCort* (2001) 91 Cal.App.4th 875, 881.). Hence, the statute of limitations does not bar Plaintiff's claim here.

B. The Fifth Cause of Action Well Pleads a Duty to Disclose.

As put by *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal. 5th 1:

A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as the plaintiff's fiduciary or is in some other confidential relationship with the plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to the defendant, and the defendant knows those facts are not known or reasonably discoverable by the plaintiff (*i.e.*, exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (*i.e.* partial concealment); or (5) the defendant actively conceals discovery of material fact from the plaintiff (*i.e.*, active concealment). Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as "between seller and buyer . . . or parties entering into any kind of contractual agreement. All of *these relationships are created by transactions between parties* from which a duty to disclose facts material to the transaction arises under certain circumstances.

(*Rattagan, supra*, 17 Cal. 5th at 40 (emphasis added).)

Here, GM argues the Complaint fails to establish it owed Plaintiff a legal duty of disclosure because there was no direct transactional relationship between Plaintiff and

GM since the subject vehicle was not directly purchased from GM. (Motion pp. 12:5-13:21) But GM's argument fails because "[a] relationship between the parties is present if there is some sort of transaction between the parties." (*Hoffman v. 162 N. Wolfe LLC*, (2014) 228 Cal. App. 4th 1178, 1187.) Plaintiff *does* allege that he entered into an express warranty agreement with GM on February 6, 2021. (Complaint ¶ 6) Giving Plaintiff the benefit of all reasonable inferences from this allegation, as the Court must do in the procedural posture of resolving this demurrer, the Court finds that Plaintiff has well pleaded sufficient facts establishing a direct transactional relationship with GM, from which the duty to disclose arises.

C. The Fifth Cause of Action is Pleaded With Specificity.

GM contends that Plaintiff fails to plead with particularity (1) the nature of the defect GM allegedly concealed; (2) what engine-related failure was manifested by the Subject Vehicle; (3) GM's exclusive knowledge and active concealment of the defect; (4) Plaintiff's justifiable and actual reliance. GM emphasizes that Plaintiff's vague "pre-production testing data" allegation is insufficient as it fails to allege the nature of the tests, their connection to the defect at issue, and what the testing revealed. (Motion pp. 10:27-11:12, 14:14-23, 15:5-9, 15:11-16:10.)

The essential elements of a fraud cause of action based on concealment or nondisclosure are: (1) the defendant had a duty to disclose the concealed or suppressed fact to the plaintiff; (2) the defendant intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, and (3) the plaintiff was damaged as a result. (*Jones v. ConocoPhillips* (2011) 198 Cal.App.4th 1187, 1198.)

It is a general principle of California law that each element in a fraud cause of action must be pleaded with specificity. (*Lazar v. Super. Ct. (Rykoff-Sexton, Inc.)* (1996) 12 Cal.4th 631, 645.) But this pleading requirement is relaxed in the case of fraud *by concealment or omission* because, as one court has explained, "[h]ow does one show 'how' and 'by what means' something didn't happen, or 'when it never happened, or 'where' it never happened?" (*Alfaro v. Community Housing Imp. System Planning Ass'n., Inc.* (2009) 171 Cal. App. 4th 1356, 1384.)

Additionally, one of the purposes of the specificity-in-pleading-fraud requirement is to provide "notice to the defendant, to furnish the defendant with certain definite charges which can be intelligently met." (*Committee, supra*, 35 Cal.3d at 216, internal quotations omitted.) So where, as here, "it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy, even under strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party. . . ." (*Id.* at p.217; *see also Bushell v. JPMorgan Chase Bank, N.A.* (2013) 220 Cal. App. 4th 915, 931 ["plaintiffs did not have to specify the . . . personnel who prepared these documents because that information is uniquely within . . . [defendant's] knowledge."].) Here, the Complaint sufficiently alleges that:

- GM knew the subject vehicle had an engine defect that resulted in loss of power,

stalling, running rough, or engine misfires;

- This knowledge was acquired from GM's gathered internal data about the engine and from sources that were unavailable to Plaintiff;
- GM concealed the engine defect and failed to disclose it to Plaintiff at the time of the sale or thereafter; and
- Plaintiff would not have purchased the Subject Vehicle had he known of the engine defects.

(Complaint 47, 51, 54, 57.)

Those allegations are pleaded with the requisite particularity because it is GM who has possession of the information concerning those allegations, and any questions thereon may be cleared up through discovery. (*See Ludgate Ins. Co. v. Lockheed Martin Corp.* (2000) 82 Cal. App. 4th 592, 608 [Sixth District stating that "[t]here is no need to require specificity in the pleadings because 'modern discovery procedures necessarily affect the amount of detail that should be required in a pleading.'"].)

D. The Fifth Cause of Action is Not Barred by the Economic Loss Rule

GM cites *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, in support of its argument that the claim is barred by the economic loss rule because Plaintiff cannot establish that (1) GM's alleged conduct violated a duty independent of the duties and rights assumed under the warranty contract, and (2) the damage to the Vehicle was not contemplated by the parties when the contract was formed. (Motion p. 17:3-9) But GM's argument is unfounded.

Rattagan expressly explained that that "the economic loss rule does not apply to limit recovery for intentional tort claims like fraud." (*Id.* at p.38.) "A plaintiff may assert an independent claim of fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties' contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered in the agreement." (*Ibid.*)

And as the Court already ruled above, Plaintiffs have sufficiently alleged a claim for fraudulent concealment stemming from GM's duty to disclose exclusively known material facts, which is independent of GM's alleged breach of its duty to repair under the contracted warranty. Moreover, the economic loss rule is not a complete defense, but instead relates to the damage element of a tort cause of action. (*Greystone Homes, Inc. v. Midtec, Inc.* (2008) 168 Cal.App.4th 1194, 1215.)

Accordingly, the economic loss rule does not bar Plaintiff's fifth cause of action.

IV. Conclusion & Order

Accordingly, as all of GM's arguments fail, GM's demurrer is **OVERRULED**.

SO ORDERED.

Date: June 10, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 4

Case Name: *Kellie Karen Stafford v. Volkswagen Group of America Inc., et al.*

Case No.: 24CV449054

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Defendant Volkswagen Group of America, Inc. (“VWGoA” or “Defendant”) moves under Code of Civil Procedure Sections 2025.410 and 2025.450 to compel Plaintiff Kellie Karen Stafford (“Plaintiff”) to attend a deposition and produce documents at the deposition, and for monetary sanctions in the amount of \$2,035.00 against Plaintiff and her counsel of record, Strategic Legal Practices, APC, jointly and severally. Notice of Motion (the “Motion”) at 2:1-5 (filed: Oct. 8, 2025).

The Motion came on for hearing on June 10, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

This is a straightforward Motion for the Court to resolve.

After Defendant on July 23, 2025, properly noticed the deposition of Plaintiff for September 3, 2025 (Declaration of Alex G. Kalifeh in Support of Motion (“Kalifeh Decl.”) at ¶ 5 & its Ex. C, the “Notice of Deposition”), Plaintiff was *required* to show up and testify at this noticed deposition on September 3, 2025. C.C.P. §§ 2025.010, 205.240, 2025.280, 2025.450(a). This was not optional. But Plaintiff did not show up to testify at this noticed September 3, 2025 deposition. Kalifeh Decl. at ¶8 and its Ex. F (Certification of Non-Appearance).

Lest there be doubt, between July 23, 2025 when Defendant served this Notice of Deposition on Plaintiff, and the noticed September 3, 2025 deposition itself, Plaintiff never objected to this Notice of Deposition nor responded Defendant’s meet and confer correspondence with alternative deposition dates for Plaintiff. Kalifeh Decl. at ¶7. So in light of—

1. Plaintiff’s failure to object to this Notice of Deposition,
2. Plaintiff’s failure to respond with alternative deposition dates to the meet and confer correspondence between July 23, 2025 when the Notice of Deposition was served and the September 3, 2025 noticed deposition, and
3. Plaintiff’s failure to appear at the noticed deposition on September 3, 2025

—the Court finds and rules that Defendant was justified in filing this Motion to when it did on October 8, 2025 to compel Plaintiff’s deposition.